

SALES AGREEMENT FOR FLUOROPOLYMER CONCENTRATE — DRAFT V2

(Requires Attorney Review Before Use)

Changes from V1 (3 items):

- `Recitals`: Product brand name clarified to primary brand "kichi" (吉)
- `Article 19.2`: Tokyo District Court exclusive jurisdiction → **ICC International Arbitration** (Singapore)
- `Article 21`: Territory and Exclusivity clause **newly added** (non-exclusive by default)

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⚠ ATTORNEY REVIEW REQUIRED before use.

⚠ **THIS IS A DRAFT DOCUMENT. IT MUST BE REVIEWED BY QUALIFIED LEGAL COUNSEL BEFORE USE. THIS DOCUMENT DOES NOT CONSTITUTE LEGAL ADVICE.**

This Sales Agreement for Fluoropolymer Concentrate (this "Agreement") is entered into as of _____, 20__ (the "Effective Date"), by and between:

Seller:

CRUX G.K. (クラックス合同会社), a Godo Kaisha organized under the laws of Japan, with its principal place of business at 8-24-12 Horikiri, Katsushika-ku, Tokyo 124-0006, Japan ("Seller" or "Crux"); and

Buyer:

_____, a [corporation/individual/limited liability company] organized under the laws of _____, with its principal place of business at _____ ("Buyer").

Seller and Buyer are referred to individually as a "Party" and collectively as the "Parties."

RECITALS

A. Seller is an exclusive international distributor of a proprietary fluoropolymer penetrating anti-fouling coating concentrate manufactured under strict confidentiality arrangements by Keystone Co., Ltd. (株式会社キーストン) and sold primarily under the brand name **kichi** (吉) (also referenced as Protocare XOP in certain markets).

B. The Product's formula, composition, and manufacturing process constitute trade secrets of Seller and its upstream manufacturer and are not protected by patent registration. The legal protection of these trade secrets depends entirely on contractual confidentiality arrangements, including the Non-Disclosure Agreement referenced herein.

C. Buyer desires to purchase the Product from Seller for use and/or distribution within Buyer's designated Territory, and Seller is willing to sell the Product to Buyer, subject to the terms and conditions of this Agreement.

D. Buyer has executed a Non-Disclosure Agreement with Seller (the "NDA") as a condition precedent to the disclosure of any product information and to the execution of this Agreement. Buyer acknowledges that the NDA remains in full force and effect and that its obligations under the NDA are independent of this Agreement.

NOW, THEREFORE, in consideration of the mutual covenants and agreements set forth herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

ARTICLE 1 — DEFINITIONS

1.1 **"Product"** means the fluoropolymer penetrating anti-fouling coating concentrate sold under the brand name kichi (吉) Fluoropolymer Concentrate, as described in the Technical Data Sheet attached as Exhibit A to this Agreement.

1.2 **"Technical Data Sheet" or "TDS"** means the product specification document attached hereto as Exhibit A, setting forth the Product's specifications, physical properties, application instructions, and safety information.

1.3 **"Purchase Order"** means a written order issued by Buyer to Seller requesting a specific quantity of the Product, in a form consistent with Article 6 of this Agreement.

1.4 **"Order Confirmation"** means Seller's written acceptance of a Purchase Order, which acceptance constitutes the binding contract for that specific lot.

1.5 **"Lot"** means the quantity of Product shipped in a single shipment pursuant to a single Purchase Order.

1.6 **"EXW"** means the Incoterms 2020 Ex Works delivery term.

1.7 **"NDA"** means the Non-Disclosure Agreement entered into between the Parties separately from this Agreement, the terms of which are incorporated by reference herein.

1.8 **"Confidential Information"** has the meaning given to such term in the NDA.

1.9 **"Applicable Law"** means any applicable statute, regulation, governmental order, or official directive of any jurisdiction relevant to the importation, sale, storage, handling, or use of the Product.

1.10 **"Territory"** means the geographic area designated in writing by Seller pursuant to Article 21 of this Agreement.

ARTICLE 2 — CONDITION PRECEDENT: NON-DISCLOSURE AGREEMENT

2.1 **NDA Required.** The execution of the NDA by Buyer is an absolute condition precedent to the disclosure of any product samples, pricing, formula information, supplier information, or other Confidential Information by Seller, and to the execution of this Agreement. Seller shall have no obligation to enter into this Agreement with any party that has not executed the NDA.

2.2 **Continuing Obligation.** Buyer confirms that it has executed the NDA and that the NDA remains in full force and effect as of the Effective Date of this Agreement. The NDA is an integral part of the commercial relationship between the Parties and shall survive the termination of this Agreement.

2.3 **Priority.** In the event of any conflict between the terms of this Agreement and the NDA with respect to confidentiality obligations, the more protective provision shall prevail.

ARTICLE 3 — PURCHASE AND SALE; PRODUCT SPECIFICATIONS

3.1 **Sale of Product.** Subject to the terms and conditions of this Agreement, Seller agrees to sell to Buyer, and Buyer agrees to purchase from Seller, the Product in such

quantities as Buyer may order from time to time pursuant to the Purchase Order process described in Article 6.

3.2 Specifications. The Product shall conform to the specifications set forth in the TDS (Exhibit A) at the time of shipment. Seller shall maintain and update the TDS and provide Buyer with prior written notice of any material changes to Product specifications. Minor changes that do not affect the Product's fundamental performance characteristics may be made by Seller without Buyer's consent, provided Seller notifies Buyer in writing.

3.3 No Other Specifications. Product specifications are solely as set forth in the TDS. Any additional or different specifications proposed by Buyer are expressly rejected unless agreed in writing by Seller.

ARTICLE 4 — PRICE

4.1 Unit Price. The purchase price for the Product is United States Dollars Five Thousand (USD \$5,000) per liter (the "Unit Price"), on an EXW Japan (Incoterms 2020) basis.

4.2 Taxes and Duties. The Unit Price is exclusive of all taxes, levies, duties, and charges, including without limitation Japanese consumption tax, export duties, import tariffs, and any other charges imposed by any governmental authority on the export, import, or use of the Product. All such charges shall be borne exclusively by Buyer.

4.3 Price Adjustments. Seller reserves the right to adjust the Unit Price upon thirty (30) days' prior written notice to Buyer, provided that no price adjustment shall apply to any Purchase Order for which an Order Confirmation has already been issued prior to the effective date of the price adjustment.

4.4 Currency. All payments shall be made in United States Dollars (USD). Buyer bears all currency conversion risks and bank charges.

ARTICLE 5 — MINIMUM ORDER QUANTITY

5.1 The minimum purchase quantity per Purchase Order is _____ liter(s) (____L).

[Attorney note: Minimum order quantity to be confirmed by Crux prior to execution. Consider whether minimum annual purchase commitments (exclusive dealing terms) are appropriate for designated territory buyers.]

ARTICLE 6 — PURCHASE ORDER PROCESS

6.1 Issuance of Purchase Order. Buyer shall submit a Purchase Order to Seller in writing (by email or other agreed written means) specifying:

- (a) the date of the Purchase Order;
- (b) the quantity of Product ordered (in liters);
- (c) the requested delivery date (subject to Seller's acceptance);
- (d) the delivery address or port of export;
- (e) Buyer's authorized contact person and contact information; and
- (f) any other information reasonably requested by Seller.

6.2 Order Confirmation. Seller shall issue an Order Confirmation within five (5) business days of receiving a Purchase Order, either accepting the Purchase Order or proposing modified terms. A binding contract for the sale and purchase of the specified Lot is formed upon Seller's issuance of an Order Confirmation. If Seller does not respond within five (5) business days, Buyer shall follow up in writing before assuming acceptance.

6.3 No Conflicting Terms. Any pre-printed terms and conditions on Buyer's purchase order forms are hereby expressly rejected. This Agreement, together with the relevant Order Confirmation, constitutes the entire agreement with respect to each Lot.

ARTICLE 7 — PAYMENT

7.1 Advance Payment Required — No Exceptions. Payment terms are one hundred percent (100%) advance payment by wire transfer (T/T) prior to shipment. This requirement is non-negotiable and admits of no exceptions without Seller's express written agreement in each instance.

7.2 Payment Timing. Buyer shall remit the full purchase price for each Lot to Seller's designated bank account within five (5) business days of receipt of the Order Confirmation, unless a different payment deadline is specified in the Order Confirmation.

7.3 Shipment Condition. Seller shall have no obligation to initiate shipment preparation or to ship any Lot until Seller has received and confirmed receipt of full payment in cleared funds in Seller's bank account.

7.4 Letter of Credit. Payment by letter of credit (L/C) may be accepted solely at Seller's discretion and only pursuant to a written amendment to this Agreement or separate written agreement setting forth the applicable L/C terms. Seller's consent to

accept an L/C for one transaction shall not imply consent for any subsequent transaction.

7.5 Late Payment. If Buyer fails to make any payment by the due date, Seller may charge interest on the outstanding amount at the rate of _____% per annum (or the statutory commercial rate under Japanese law, whichever is higher), calculated on a daily basis from the due date until the date of actual payment.

7.6 Withholding. All payments shall be made free and clear of and without any deduction or withholding for or on account of any taxes or duties. If Buyer is required by law to make any such deduction or withholding, the sum payable shall be increased to the extent necessary to ensure that Seller receives the full amount it would have received in the absence of such deduction or withholding.

ARTICLE 8 — DELIVERY

8.1 Delivery Terms. Delivery shall be made on an EXW Japan (Incoterms 2020) basis at Seller's or Seller's manufacturer's designated facility in Japan (the "Delivery Point"), unless otherwise expressly agreed in writing by the Parties.

8.2 Transfer of Risk and Title. Risk of loss and title to the Product shall pass to Buyer at the Delivery Point when the Product is made available to Buyer or Buyer's designated carrier. From that moment, Buyer bears all risk of loss, damage, or destruction of the Product.

8.3 Buyer's Export Responsibilities. Under EXW terms, Buyer is solely responsible for:

- (a) arranging export clearance and obtaining all necessary export licenses or authorizations;
- (b) loading the Product onto Buyer's designated carrier at the Delivery Point;
- (c) all freight, insurance, and transportation costs from the Delivery Point to the final destination;
- (d) import clearance, import duties, and customs compliance at the destination; and
- (e) compliance with all applicable import regulations at the destination.

8.4 Delivery Date. Seller shall use commercially reasonable efforts to make the Product available at the Delivery Point on or before the delivery date specified in the Order Confirmation. Seller shall not be liable for any delay in delivery that is beyond Seller's reasonable control.

8.5 **Alternative Incoterms.** The Parties may agree in writing to alternative delivery terms (e.g., FOB, CFR, CIF) in which case the terms of such written agreement shall govern the relevant Lot.

ARTICLE 9 — PACKAGING AND HAZARDOUS MATERIALS

9.1 **Packaging.** Seller shall package the Product in a manner appropriate for export, using standard containers suitable for international transport of chemical concentrates.

9.2 **Regulatory Compliance — Destination.** Buyer is solely responsible for researching and complying with all import regulations, chemical registration requirements, hazardous materials transport regulations, and product usage regulations applicable at the destination. Seller makes no representation regarding the Product's regulatory status in any jurisdiction other than Japan.

9.3 **MSDS/SDS.** Seller shall provide Buyer with the Safety Data Sheet (SDS) for the Product. Buyer is responsible for ensuring that the SDS is reviewed and disseminated to all persons handling the Product and all end users.

ARTICLE 10 — INSPECTION AND ACCEPTANCE

10.1 **Inspection.** Buyer shall inspect each Lot promptly upon taking delivery, and in any event within ten (10) business days of the date of delivery at the Delivery Point.

10.2 **Notice of Non-Conformity.** If Buyer determines that a delivered Lot does not conform to the TDS specifications, Buyer shall notify Seller in writing within the ten (10) business day inspection period, specifying in reasonable detail the nature of the alleged non-conformity and the quantity affected. Failure to provide timely written notice shall constitute irrevocable acceptance of the Lot.

10.3 **Seller's Right to Inspect.** Following receipt of a non-conformity notice, Seller may request that the alleged non-conformity be assessed by an independent third-party laboratory or certification body agreed upon by both Parties. The cost of such independent assessment shall be borne by Seller if the non-conformity is confirmed, and by Buyer if the non-conformity is not confirmed.

10.4 **Remedy for Confirmed Non-Conformity.** If a non-conformity is confirmed, Seller's sole obligation shall be, at Seller's election: (a) replacement of the non-conforming Lot; or (b) a refund of the purchase price paid for the non-conforming Lot. The foregoing constitutes Buyer's exclusive remedy for Product non-conformity.

ARTICLE 11 — APPLICATION AND USE

11.1 Buyer's Responsibility. The application, installation, and use of the Product are entirely Buyer's responsibility. Seller provides the Product as a concentrate and offers the TDS and application guidance documentation; Seller does not supervise, direct, or control the actual application of the Product.

11.2 TDS Compliance. Buyer shall follow the application methods and precautions set forth in the TDS. Deviation from TDS instructions may affect Product performance and shall relieve Seller of any warranty obligation with respect to affected results.

11.3 End User Safety. Buyer is solely responsible for ensuring that all persons applying the Product — including Buyer's employees and subcontractors — are provided with and have read the TDS, SDS, and any applicable safety instructions.

11.4 End User Agreements. Buyer shall ensure that its end users are informed of the Product's proper use and limitations, and Buyer shall be solely responsible for all claims arising from end user use of the Product.

ARTICLE 12 — WARRANTIES

12.1 Product Conformance Warranty. Seller warrants that the Product, at the time of shipment, will conform to the specifications set forth in the TDS.

12.2 Disclaimer. EXCEPT FOR THE EXPRESS WARRANTY SET FORTH IN SECTION 12.1, SELLER MAKES NO WARRANTIES, EXPRESS OR IMPLIED, WITH RESPECT TO THE PRODUCT, INCLUDING WITHOUT LIMITATION:

- (a) ANY IMPLIED WARRANTY OF MERCHANTABILITY;
- (b) ANY IMPLIED WARRANTY OF FITNESS FOR A PARTICULAR PURPOSE;
- (c) ANY WARRANTY AS TO THE RESULTS TO BE ACHIEVED BY BUYER OR ANY END USER THROUGH THE USE OR APPLICATION OF THE PRODUCT;
- (d) ANY WARRANTY AS TO THE DURABILITY, AESTHETIC OUTCOME, OR PERFORMANCE PERSISTENCE OF THE APPLIED PRODUCT;
- (e) ANY WARRANTY THAT THE PRODUCT IS APPROVED, REGISTERED, OR AUTHORIZED FOR SALE OR USE UNDER THE LAWS OF ANY JURISDICTION OTHER THAN JAPAN.

12.3 Buyer's Acknowledgment. Buyer acknowledges that the performance of the Product after application depends on the substrate material, surface condition,

application method, environmental conditions, and other variables outside Seller's control, and that Buyer accepts the Product on this basis.

ARTICLE 13 — LIMITATION OF LIABILITY

13.1 Cap on Liability. IN NO EVENT SHALL SELLER'S TOTAL AGGREGATE LIABILITY TO BUYER UNDER OR IN CONNECTION WITH THIS AGREEMENT EXCEED THE TOTAL PURCHASE PRICE ACTUALLY PAID BY BUYER TO SELLER FOR THE SPECIFIC LOT GIVING RISE TO THE CLAIM.

13.2 Exclusion of Consequential Damages. IN NO EVENT SHALL SELLER BE LIABLE TO BUYER OR ANY THIRD PARTY FOR ANY LOST PROFITS, LOST REVENUE, LOSS OF BUSINESS OPPORTUNITY, BUSINESS INTERRUPTION, LOSS OF GOODWILL, INDIRECT, INCIDENTAL, SPECIAL, PUNITIVE, OR CONSEQUENTIAL DAMAGES OF ANY KIND, WHETHER ARISING FROM BREACH OF CONTRACT, TORT (INCLUDING NEGLIGENCE), OR OTHERWISE, EVEN IF SELLER HAS BEEN ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

13.3 Essential Basis. The Parties acknowledge that the limitations of liability set forth in this Article reflect a reasonable allocation of risk between the Parties and are an essential element of the basis of the bargain between the Parties. Seller would not have entered into this Agreement at the stated price absent these limitations.

13.4 Exceptions. The limitations in Sections 13.1 and 13.2 shall not apply to: (a) liability arising from Seller's gross negligence or willful misconduct; or (b) liability that cannot be limited under mandatory Applicable Law.

ARTICLE 14 — INTELLECTUAL PROPERTY

14.1 No IP Transfer. Nothing in this Agreement shall be construed as granting Buyer any right, title, license, or interest in or to any intellectual property rights of Seller, including the Product formula, composition, manufacturing process, trade secrets, trademarks, or brand names.

14.2 Trade Secret Acknowledgment. Buyer acknowledges that the Product formula, composition, and manufacturing process constitute trade secrets of Seller and its upstream manufacturer. Buyer shall not acquire any rights in such trade secrets through the purchase of the Product.

14.3 No IP Applications. Buyer shall not apply for, register, or attempt to obtain any patent, utility model, or other intellectual property protection covering any aspect of the

Product's formula, composition, or manufacturing process.

14.4 Trademarks. The brand name kichi (吉) and any related logos and trademarks are the exclusive property of Seller and/or its affiliates. Buyer may use such trademarks solely for the purpose of marketing and distributing the Product in Buyer's Territory, and only in accordance with Seller's brand guidelines as may be provided from time to time. Buyer shall not register or attempt to register any such trademark in any jurisdiction without Seller's prior written consent.

ARTICLE 15 — EXPORT CONTROLS AND REGULATORY COMPLIANCE

15.1 Buyer is solely responsible for determining and complying with all Applicable Laws governing the import, transport, storage, handling, registration, and use of the Product in the destination country or territory, including without limitation chemical registration requirements, building materials regulations, and environmental regulations.

15.2 Buyer shall comply with all applicable export control laws and regulations, including Japan's Foreign Exchange and Foreign Trade Act (外国為替及び外国貿易法).

15.3 Buyer shall indemnify and hold harmless Seller from and against any claims, losses, penalties, or liabilities arising out of Buyer's failure to comply with any Applicable Law in the destination jurisdiction.

ARTICLE 16 — FORCE MAJEURE

16.1 Neither Party shall be liable for any delay or failure to perform its obligations under this Agreement to the extent that such delay or failure is caused by circumstances beyond that Party's reasonable control, including without limitation: acts of God, fire, flood, earthquake, war, terrorism, civil unrest, governmental action or regulation, pandemic, epidemic, embargoes, widespread transportation disruptions, or failure or delay by Seller's manufacturer or upstream suppliers due to causes beyond their reasonable control (each, a "Force Majeure Event").

16.2 The affected Party shall: (a) promptly notify the other Party in writing of the occurrence of a Force Majeure Event and its expected duration; (b) use reasonable efforts to mitigate the effects of and overcome the Force Majeure Event; and (c) resume performance as soon as reasonably practicable.

16.3 If a Force Majeure Event continues for more than ninety (90) consecutive days, either Party may terminate the affected Purchase Order(s), or this Agreement in its

entirety, upon thirty (30) days' written notice to the other Party, without further liability to either Party (except for payment obligations already accrued).

ARTICLE 17 — TERM AND TERMINATION

17.1 **Term.** This Agreement shall commence on the Effective Date and shall continue for a period of ____ year(s) (the "Initial Term"), unless earlier terminated in accordance with this Article. Thereafter, the Agreement may be renewed by mutual written agreement of the Parties.

17.2 **Termination for Cause.** Seller may terminate this Agreement immediately upon written notice to Buyer if:

- (a) Buyer breaches any obligation under the NDA;
- (b) Buyer fails to make any payment when due and such failure continues for thirty (30) days after written notice from Seller;
- (c) Buyer breaches any other material term of this Agreement and fails to cure such breach within thirty (30) days after written notice from Seller specifying the breach;
- (d) Buyer becomes insolvent, is declared bankrupt, makes an assignment for the benefit of creditors, or is subject to reorganization, civil rehabilitation, or similar insolvency proceedings under any applicable law; or
- (e) Buyer attempts to assign this Agreement without Seller's prior written consent.

17.3 **Effect of Termination.** Upon expiration or termination of this Agreement: (a) all Purchase Orders for which Order Confirmations have been issued prior to the termination date shall remain in effect and be governed by this Agreement; (b) all payment obligations then accrued shall survive; and (c) Buyer shall return or destroy all Confidential Information in accordance with the NDA.

17.4 **Survival.** The following provisions shall survive expiration or termination of this Agreement: Articles 12 (Warranties, with respect to shipped Lots), 13 (Limitation of Liability), 14 (Intellectual Property), 15 (Regulatory Compliance), 18 (Confidentiality), 19 (Governing Law), and 20 (General Provisions).

ARTICLE 18 — CONFIDENTIALITY

18.1 **NDA Incorporation.** Buyer's obligations of confidentiality under the NDA are incorporated herein by reference and form an integral part of this Agreement. A breach of the NDA shall also constitute a breach of this Agreement.

18.2 Commercial Terms. Buyer shall not disclose the Unit Price, payment terms, or other commercial terms of this Agreement to any third party without Seller's prior written consent, except as required by Applicable Law or as necessary for Buyer to obtain professional advice (provided such advisors are bound by equivalent confidentiality obligations).

ARTICLE 19 — GOVERNING LAW AND DISPUTE RESOLUTION

19.1 Governing Law. This Agreement shall be governed by and construed in accordance with the laws of Japan, excluding its conflict of laws principles and excluding the United Nations Convention on Contracts for the International Sale of Goods (CISG).

19.2 Arbitration. Any dispute arising out of or in connection with this Agreement that cannot be resolved through good-faith negotiation within thirty (30) days of written notice of the dispute shall be finally resolved by arbitration administered by the International Chamber of Commerce (ICC) under its Arbitration Rules, with the seat of arbitration in Singapore, conducted in the English language, before a sole arbitrator. The arbitral award shall be final and binding upon the Parties and may be enforced in any court of competent jurisdiction.

[Note: Changed from Tokyo District Court exclusive jurisdiction (V1) to ICC arbitration. Tokyo court judgments are difficult to enforce in the UAE; ICC arbitral awards are enforceable in 170+ countries under the New York Convention. Subject to final attorney review.]

19.3 Service. Buyer irrevocably consents to service of process by registered international mail to the address set forth above.

ARTICLE 20 — GENERAL PROVISIONS

20.1 Entire Agreement. This Agreement, together with the NDA and Exhibit A (TDS), constitutes the entire agreement between the Parties with respect to the sale and purchase of the Product, and supersedes all prior negotiations, representations, warranties, and understandings, whether oral or written.

20.2 Amendments. No amendment or modification of this Agreement shall be valid unless made in writing and signed by authorized representatives of both Parties.

20.3 Severability. If any provision of this Agreement is held invalid, illegal, or unenforceable under Applicable Law, such provision shall be modified to the minimum

extent necessary to make it enforceable, and the remaining provisions shall continue in full force and effect.

20.4 Waiver. No failure or delay by either Party in exercising any right or remedy under this Agreement shall operate as a waiver thereof. No waiver shall be effective unless made in writing.

20.5 Assignment. Buyer may not assign or transfer this Agreement or any of its rights or obligations hereunder without the prior written consent of Seller, which consent may be withheld in Seller's sole discretion. Seller may assign this Agreement (a) to an affiliate; (b) in connection with a merger, acquisition, or sale of all or substantially all of Seller's assets; or (c) otherwise with Buyer's prior written consent. Any purported assignment in violation of this Section shall be null and void.

20.6 Notices. All notices required or permitted under this Agreement shall be in writing and shall be deemed given when: (a) delivered personally; (b) sent by internationally recognized overnight courier; (c) sent by registered or certified mail (return receipt requested); or (d) sent by email with confirmed read receipt, to the addresses of the Parties set forth in the preamble of this Agreement, or to such other address as a Party may specify by written notice.

20.7 No Partnership or Agency. The relationship between Seller and Buyer is that of independent contracting parties. Nothing in this Agreement shall be construed to create a partnership, joint venture, agency, franchise, employment, or similar relationship between the Parties.

20.8 Language. This Agreement is executed in the English language, which shall be the controlling version. A Japanese translation may be prepared for reference purposes. In the event of any inconsistency between the English and Japanese versions, the English version shall prevail.

20.9 Counterparts. This Agreement may be executed in counterparts, each of which shall constitute an original, and all of which together shall constitute one and the same instrument. Electronic signatures shall be deemed valid and binding to the same extent as original signatures.

20.10 Further Assurances. Each Party agrees to execute such additional documents and instruments and to take such further actions as may be reasonably necessary to carry out the purposes of this Agreement.

ARTICLE 21 — TERRITORY AND EXCLUSIVITY *(New — V2)*

21.1 Non-Exclusive by Default. Unless otherwise agreed in writing by the Parties, this Agreement is non-exclusive. Seller reserves the right to appoint other distributors, resellers, or agents in any territory, including Buyer's Territory, without any obligation to notify or compensate Buyer.

21.2 Designated Territory. Buyer is authorized to market and sell the Product solely within the geographic territory designated in writing by Seller (the "Territory"). Buyer shall not, directly or indirectly, sell, solicit orders for, or actively market the Product outside the Territory without Seller's prior written consent.

21.3 Exclusive Rights. If Buyer requests exclusive distribution rights for the Territory, the Parties shall negotiate in good faith a separate Exclusive Distribution Agreement setting forth minimum annual purchase commitments, performance milestones, territory review periods, and the duration and conditions for such exclusivity. Execution of this Agreement does not grant, imply, or create any exclusive rights of any kind.

21.4 Trademark Use in Territory. Buyer's right to use Seller's trademarks (Article 14.4) is limited to the Territory and is contingent on Buyer's continued compliance with this Agreement and the NDA.

EXHIBIT A — TECHNICAL DATA SHEET (TDS)

To be attached at the time of execution or at the time of the first product sample disclosure.

[Attach TDS here]

[Exhibit B — Form of Purchase Order may be added if desired]

SIGNATURE PAGE

IN WITNESS WHEREOF, the Parties have executed this Sales Agreement for Fluoropolymer Concentrate as of the Effective Date first written above.

CRUX G.K. (クラックス合同会社)

Seller

8-24-12 Horikiri, Katsushika-ku, Tokyo 124-0006, Japan

TEL: +81-3-6662-5105 / FAX: +81-3-6662-4314

E-mail: yoshioka@e-crux.com

Date: __/__/

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